

28 Risk measurement & reporting

5 primary questions | Oldest to newest

2026 objectives: 3.4, 5.3.2

5 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 April 2013 Q3	11 marks
CP1-P1 April 2020 Q2	4 marks
CP1-P1 September 2022 Q7	8 marks
CP1-P1 September 2022 Q12	14 marks
CP1-P1 September 2024 Q4	6 marks

CA1-P1 | April 2013 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 25, Ch 30.

- 3** A large multinational engineering company carries out a range of projects globally.
- (i) Outline how the risk portfolio (or risk register) approach could be used to estimate the relative importance of various risks to this company. [5]
 - (ii) Explain why regular reviews of the risks will be needed. [2]
 - (iii) Discuss how the company can deal with low probability high impact risks. [4]
- [Total 11]

CP1-P1 | April 2020 | Q2

[Current topic](#) | [4 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 2** Outline why regular risk reporting is important for the management of a financial institution. [4]

CP1-P1 | September 2022 | Q7

[Current topic](#) | [8 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 7** A manufacturing company is carrying out a review of all of its global operations to try to understand where it is most exposed to financial, operational, economic and other risks.
- (i) Explain with examples how scenario analysis may be used to assist in this review. [5]
 - (ii) Explain why stress testing may be preferable to scenario testing in some situations. [3]
- [Total 8]

CP1-P1 | September 2022 | Q12

Current topic | 14 marks total | Original PDF p5

Related: Ch 36.

12 A regulator is reviewing a life insurance company's financial resilience using stress and scenario testing that considers a 5-year time horizon.

- (i) Explain why the regulator has chosen a 5-year time horizon. [3]
- (ii) Suggest, with reasons, the risks that could be included. [3]
- (iii) Suggest the financial measures that could be included in the review. [3]

The regulator has proposed an approach with four distinct time stages.

<i>Stage 1</i>	<i>Stage 2</i>	<i>Stage 3</i>	<i>Stage 4</i>
Balance sheet and capital requirements calculated immediately following stresses to: • interest rates. • credit spreads (no credit rating downgrades). • equity prices.	Balance sheet and capital requirements calculated immediately following stresses to: • interest rates. • credit spreads. • credit rating downgrades. • equity prices. • property prices.	Same stresses as Stage 2. Balance sheet and capital requirements calculated after changing the asset mix.	Same stresses as Stage 2 plus stress to longevity and lapse assumptions. Balance sheet and capital requirements calculated after changing the asset mix.

- (iv) Assess the regulator's proposal for testing the company's financial resilience including its reasoning for including each stage. [5]

[Total 14]

CP1-P1 | September 2024 | Q4

Current topic | 6 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

- 4** Assess the effectiveness of using stochastic modelling for risk evaluation in the following products:
- (i) A term assurance policy. [3]
 - (ii) A lump sum that is to be held by a company in a cash account for 10 years. After 10 years, the sum is paid into the company's defined benefit scheme if that scheme is in deficit. If the scheme is not in deficit, then the lump sum will be refunded to the company. [3]
- [Total 6]